IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - II, CHENNAI

CP(CAA)/38 & 39 (CHE)/2021
in
CA(CAA)/10 & 8 (CHE)/2021

Under Sections 230 to 232 of the Companies Act, 2013
In the matter of the *Scheme of Amalgamation* of

MICHELIN INDIA TECHNOLOGY CENTER PRIVATE LIMITED
A Company registered under Companies Act, 2013.
Having its registered office at
3rd Floor, Shyamala Towers, 136 Arcot Road,
Saligramam Chennai – 600093.
Represented by
Mr.Balaji Lakshmi Subramanian.

... Petitioner / Transferor Company

MICHELIN INDIA PRIVATE LIMITED
Having its registered office at
3rd Floor, Shyamala Towers, 136 Arcot Road,
Saligramam Chennai – 600093.
Represented by
Mr.Subramanian Raghavan

... Petitioner/ Transferee Company

And
Their Respective Shareholders

*Order Pronounced on **03rd February 2023***

CORAM

Dr.DEEPTI MUKESH, MEMBER (JUDICIAL)
SAMEER KAKAR, MEMBER (TECHNICAL)

For Petitioner(s): Mr.Pawan Jhabakh, Advocate
Mr.B.Palani, Estate Assistant

COMMON ORDER

The present Company Petitions have been filed by the Petitioner Companies above named for the purpose of the approval of the Scheme of Amalgamation of **MICHELIN INDIA TECHNOLOGY CENTER PRIVATE LIMITED** (for brevity "Transferor Company") and

MICHELIN INDIA PRIVATE LIMITED (for brevity "Transferee Company") under section 230-232 of Companies Act, 2013, and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (for brevity 'the Rules') (hereinafter referred to as the 'SCHEME') pursuant to the Scheme proposed by the Petitioner Companies and the said Scheme is also annexed as **'Annexure – A5'** to the typed set of documents filed along with the Petition. An affidavit in support of the present petition sworn by

1. **Mr.Balaji Lakshmi Subramanian** for Transferor Company.
2. **Mr.Subramanian Raghavan** for Transferee Company.

on behalf all Petitioner Companies in the capacity of the authorized signatory and the corresponding Board Resolutions dated 15.12.2020, are filed with the petition

2. **1ST MOTION APPLICATION – IN BRIEF**

2.1. The Transferor and Transferee Companies filed the First Motion Application vide CA(CAA)/10 & 8(CHE)/2022 and sought directions for dispensation/convening of the meeting. Accordingly, this Tribunal vide common order dated 10.06.2021 gave the directions as follows.

	EQUITY SHAREHOLDERS	**SECURED CREDITORS**	**UNSECURED CREDITORS**
TRANSFEROR COMPANY	Dispensed with the meeting	No Secured Creditor, hence no necessity for a meeting	Dispensed with the meeting

TRANSFEREE COMPANY	Dispensed with the meeting	No Secured Creditor, hence no necessity of meeting	Dispensed with the meeting

As directed in the said order, the second motion petitions were filed before this Tribunal by the petitioner companies for sanction of the Scheme of Amalgamation by this Tribunal.

3. SCHEME SUMMARY:

The scheme provides for the Amalgamation by virtue of which the entire undertaking of the Transferor Company shall be merged and vested with the transferee Company as a going concern.

4. RATIONALE OF THE SCHEME

The rationale and benefits of the Scheme are briefed as, the merger of the two entities will lead to mutual synergies resulting in optimized processes. This will have a positive impact to further streamline product testing, strengthen manufacturing operations and enhance quality of the products delivered. The merger of the two interdependent entities which hold a strong customer-supplier relationship (MITC providing research and lab testing services of products to MIPL) will additionally contribute to ONE India initiative.

Additionally, the Management believes that both the Transferor Company and the Transferee Company should be amalgamated since both the entities have a common holding Company and are ultimately held by the same parent. The management believes that amalgamation will also have the following advantages:

a) Simple corporate structure in India;

b) Synergistic linkages besides economies in costs and other benefits resulting from the economies of scale, by combining

the businesses and operations of the Transferor Company and the Transferee Company,

e) Reduction in redundancies and enhance profitability of operations;

d) More & effective conduct of business and operations of both the Companies, by utilizing the financial, managerial and technical resources, and

e) Significant reduction in the multiplicity of legal and regulatory compliances required at present to be carried out separately by both the Transferor Company and the Transferee Company, and avoid duplication of administrative functions and eliminate multiple record-keeping.

5. In the second motion Petitions filed by the Petitioner Companies, this Tribunal vide common order dated 25.08.2021 directed the Petitioner Companies to issue notice to the Statutory / Regulatory Authorities viz. (i) Region al Director (Southern Region), (ii) RoC, Chennai, (iii) Official Liquidator, (iv) the Income Tax Department, with PAN details of all Petitioner companies and copy to the Chief Principal Commissioner Office as well as for paper publication to be made in "The Indian Express", English (All India Edition) and "Dinamani" Tamil (Tamil Nadu Edition).

6. In compliance with the said directions issued by this Tribunal, the Petitioner Companies have effected paper publications as directed by the Tribunal in "The Indian Express" (All India Edition) in English and "Dinamani" (Tamil Nadu Edition) in Tamil on 16.09.2021. Notices have been served to (i) Regional Director, Southern Region, Chennai on 08.09.2021, (ii) Registrar of

Companies Chennai on 09.09.2021, (iii) Official Liquidator on 08.09.2021, (iv) Income Tax Department on 10.09.2021 & 13.09.2021 and the proof of the same by way of affidavit of service dated 23.09.2021 have been enclosed with the separate typed set. Pursuant to the service of notice of the petition the following statutory authorities have responded as under:

7. STATUTORY / REGULATORY AUTHORITIES

7.1. REGIONAL DIRECTOR

The Regional Director (RD), Southern Region to whom the notice was issued in the first motion itself, has filed his interim report on via e-mail 10.02.2022, wherein they raised objections that the Transferor and the Transferee Company have violated Section 128 & 134 of the Companies Act, 2013 and sought to direct the Petitioner companies to compound the said violations.

After necessary compliances by the Petitioner Companies, on 02.11.2022, the RD filed its final report dated 02.11.2022 before this Tribunal and stated as below,

> *"11. It is submitted that Clause 19 of Part III of the Scheme deals with merger and increase of Authorized Share Capital of the Transferee Company upon effectiveness of the Scheme. The Authorized Share Capital of the Transferee Company shall stand enhanced to Rs. 7319.78,24,000/ comprising of 731,97,82,400 Equity Shares of Rs. 10 each. It is prayed that the Hon'ble NCLT, Chennai may direct the Transferee Company to pay the difference in fee/stamp duty and also to file the amended MOA and AOA with Registrar of Companies in connection with the proposed increase of Authorized Share Capital.*
>
> ...

15. The scheme of amalgamation filed with the application has been examined and it has been decided not to make any objection to the scheme, expect for the observation at Para 11 of the report and it is therefore prayed that this Hon'ble National Company Law Tribunal Bench at Chennai may dispose of the matters on merits and pass such order/orders as deemed fit and proper."

In response to that the Authorized Representative of the Petitioner Company by way of an Affidavit dated 09.12.2022 undertook as follows,

"We state that the Petitioner/Transferee Company undertakes to pay any fee involved in increasing its Authorized share capital, if any as required under the Companies Act, 2013. Further the Petitioner/Transferee Company undertakes to file the amended Memorandum and Articles of Association with the Registrar of Companies, Chennai."

7.2. INCOME TAX DEPARTMENT

Despite notice having been served, there is no representation from the Department of Income Tax and this Tribunal in terms of Section 230(5) of the Companies Act, 2013 presumes that the Department of Income Tax does not have any objection to the sanction of the Scheme.

7.3. Official Liquidator

7.3.1. The Official Liquidator, Chennai to whom the notice was issued in the first motion itself, has filed his Report before this Tribunal on 12.11.2021 and has stated that they have appointed M/s. Durairaj Associates, Chartered Accountants Firm from the panel list maintained by their office to verify into the affairs of the Transferor Company. After, scrutiny of the records, the Chartered

Accountant has not come across any act of misfeasance by the Directors, attracting any provisions the Companies Act, 2013 and of the opinion that the affairs of the Transferor Company have not to be conducted in a manner prejudicial to the interest of its members or public.

7.3.2. Further, the Official Liquidator expressed his no objection to the Scheme and sought to take the report of the Chartered Accountant on record and has also sought to fix the remuneration payable to the Auditor who has investigated into the affairs of Transferor Company. In this regard, this Tribunal hereby directs the Transferor Company to pay a sum of **₹25,000/-** plus GST.

8. ACCOUNTING TREATMENT

The Certificates issued by the Statutory Auditors certifying the Accounting Treatment of the Transferor Company and Transferee Company are in compliance to Section 133 of the Companies Act, 2013 are placed on record.

9. Valuation Report

It is seen that report of valuation dated 12.12.2020 prepared by the Registered valuer Mr.Rajiv Kumar Singh, is placed on record wherein in the following share exchange ratio was recommended,

> "The Transferee Company shall issue and allot Equity Shares of Rs.10/- each to the shareholders of the Transferor company, in the ratio of 4 equity shares of Rs.10/- of the Transferee Company to be issued for every 1 Equity Share of Rs.10/- of the Transferor Company."

11. OBSERVATIONS OF THIS TRIBUNAL

11.1. This Tribunal is of the considered view that the scheme as contemplated amongst the petitioner companies seems to be *prima facie* not, in any way detrimental to the interest of the members of the Company. In view of the absence of any material objections from any statutory authorities and since all the requisite statutory compliances have been fulfilled, this Tribunal sanctions the Scheme of Arrangement appended as **Annexure "A5"** with the petition as well as the prayer made therein.

11.2. Notwithstanding the above, if there is any deficiency found or, the violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in accordance with the law, against the concerned persons, directors and officials of the petitioners.

11.3. While approving the Scheme as above, it is clarified that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, payment is due or required in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

12. THIS TRIBUNAL DO FURTHER ORDER:

(i) That all properties, rights and interests of the Transferor Company shall, pursuant to Section 232(3) of the Companies Act, 2013 without further act or deed be transferred to and vest in or be deemed to have been transferred and vested in the Transferee Company in terms of the Scheme.

(ii) That all the liabilities, powers, engagements, obligations and duties of the Transferor Company shall pursuant to Section 232(3) of the Companies Act, 2013 without further act or deed be transferred to and vest in or be deemed to have been transferred and vested in the Transferee Company in terms of the Scheme.

(iii) That the Appointed date for the Scheme shall be **01.04.2020** as mentioned in clause 4.2 of Part-I of the Scheme.

(iv) The 'Effective date' shall be the last of the dates on which the certified copies of this order of sanctioning the scheme are filled with ROC Chennai as mentioned in clause 4.4 of Part-I of the Scheme.

(v) That all proceedings now pending by or against the Transferor Company be continued by or against the Transferee Company.

(vi) That all the employees/workmen of the Transferor Company in service on the date immediately preceding the date on which the Scheme finally takes effect shall become the employees of the

Transferee Company without any break or interruption in their service with all the benefits.

(vii) The Transferee Company do without further application allot fully paid-up equity shares to such members of the Transferor Company, as have not given such notice of dissent, as is required by Clause 17.1 of Part III of the Scheme to which they are entitled, in the ratio as under,

"The Transferee Company shall issue and allot Equity Shares of Rs.10/- each to the shareholders of the Transferor company, in the ratio of 4 equity shares of Rs.10/- fully paid up of the Transferee Company to be issued for every 1 Equity Share of Rs.10/- fully paid up of the Transferor Company."

(viii) That the Transferee Company shall file the revised Memorandum and Articles of Association with the Registrar of Companies, Chennai and further make the requisite payments of the differential fee (if any) for the enhancement of authorized capital of the Transferee Company after setting off the fees paid by the Transferor Company.

(ix) That both the Petitioner Companies, shall within thirty days of the date of receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, on such certified copy being so delivered, the Transferor Company shall be dissolved without winding up and the Registrar of Companies shall place all documents relating to the Transferor Company registered with

him on the file kept by him in relation to all the Transferee Company and the files relating to all the said companies shall be consolidated accordingly.

(x) That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

13. Accordingly, the Company Petition stands **allowed** on the aforementioned terms and is disposed of.

-Sd-

SAMEER KAKAR
MEMBER (TECHNICAL)

-Sd-

Dr.DEEPTI MUKESH
MEMBER (JUDICIAL)

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